EU Reverse-Charge and Acquisition VAT Procedure (Ireland)

Halide Labs — Internal Tax Procedure · Policy ID: HL-TAX-POL-003 · Owner: Senior Manager, Tax · Entity: Halide Labs Ireland Limited (IE) · Effective: 1 July 2026 · Version 1.2

> FICTIONAL COMPANY POLICY FOR DEMO PURPOSES. Halide Labs is a fictional company. This memo is not tax advice.

1. Purpose

Halide Labs Ireland (VAT number on file in the registrations table) buys services and goods from suppliers outside Ireland. In general under EU VAT rules, when a business customer receives services from a supplier established outside the customer's member state, the **customer accounts for the VAT itself (reverse charge)**, and when a business acquires goods dispatched from another member state it accounts for **acquisition VAT**. The supplier's invoice therefore shows no Irish VAT, and Halide Labs Ireland self-assesses it.

2. Rules in the engine

Rule ID	Situation	Treatment
`IE-P-RC-NONEU-SERVICES`	services from a supplier outside the EU (e.g. UK tax advisory)	`reverse_charge`
`IE-P-ICA-GOODS`	goods dispatched from another EU member state (e.g. data center equipment from Germany)	`acquisition_vat`
`IE-P-DOMESTIC`	Irish supplier charging Irish VAT	`vendor_charged`

The self-assessed amount = taxable base × the Irish standard rate in the rate table (jurisdiction `IE`).

3. Accounting entry

For both reverse charge and acquisition VAT, the entry has two tax legs that offset for a fully taxable business:

Account	Debit	Credit
1400 Input VAT recoverable	VAT amount	
2420 Self-assessed VAT and GST payable		VAT amount

The expense or asset is booked at the net amount and the supplier is paid the net amount.

4. Controls

- The supplier’s VAT number (where applicable) must be on file and validated before the reverse charge is applied.
- The invoice must not show Irish VAT. If it does, treat it as a possible overcharge under HL-TAX-POL-002.
- Self-assessed VAT is reported on the VAT return for the period of the invoice; the 2420 balance is reconciled to the return each period.
- Entries follow the approval matrix in HL-TAX-POL-004.